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JCET Group Co Ltd | Asia Pacific

Key takeaways from 3Q26 earnings call

Key Takeaways

- AI remains the key growth driver.
- Management highlighted robust demand from AI data centers, as well as automotive and industrial applications.
- Smartphone-related demand remains relatively soft.

Gross margin and pricing: Stable to improving margin outlook, supported by price hikes. Pricing adjustments in 2026 reflect both cost pass-through and supply-demand dynamics.

HBM supply constraints: Limited disruption to advanced packaging capacity ramp. Management expects HBM supply constraints to gradually ease, supported by diversified sourcing and customers' flexible adoption of different packaging configurations. Advanced packaging capacity expansion remains on track. JME (Jiangyin) is expected to generate several billion RMB in revenue by 2027.

3D stacking: TCB n readiness, with hybrid bonding as the next technology roadmap.

NPO/CPO: JCET has completed technical preparations for CPO mass production. Based on customer forecasts, 2.5D packaging is expected to enter commercial production at overseas facilities in 1Q27, with a larger-scale ramp targeted for 2028. Domestic facilities will follow, subject to customer qualification. Meanwhile, NPO adoption is progressing faster than CPO.

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JCET Group Co Ltd (600584.SS, 600584 CG)

Greater China Technology Semiconductors | China

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	Rmb90.20
Up/downside to price target (%)	69
Shr price, close (Oct 27, 2026)	Rmb53.29
52-Week Range	Rmb113.87-34.58
Sh out, dil, curr (mn)	1,790
Mkt cap, curr (mn)	Rmb95,365
EV, curr (mn)	Rmb91,401
Avg daily trading value (mn)	Rmb6,557

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	0.87	1.47	2.05	2.67
EPS (Rmb)§	0.86	1.30	1.83	2.35
Revenue, net (Rmb mn)	38,871	44,311	51,375	59,837
EBITDA (Rmb mn)	6,135	7,991	9,017	10,365
ModelWare net inc (Rmb mn)	1,565	2,628	3,670	4,783
P/E	42.1	36.3	26.0	19.9
P/BV	2.2	3.0	2.7	2.4
RNOA (%)	6.7	10.2	12.1	13.9
ROE (%)	5.3	8.8	11.4	13.5
EV/EBITDA	10.1	11.6	10.3	8.9
Leverage (EOP) (%)	(25.3)	(21.7)	(20.7)	(22.0)

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Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Valuation Methodology and Risks

JCET Group Co Ltd (600584.SS)

Base case, residual income model. We assume a cost of equity of 8.6% (risk free rate of 2%, equity risk premium 5.5% and beta of 1.2%), an intermediate growth rate of 19.0%, and a terminal growth rate of 4.0%.

Risks to Upside

- Better-than-expected demand for communications, computing, and consumer electronics
- Providing 2.5D/3D advanced packaging sooner than we expect
- Faster-than-expected share gains

Risks to Downside

- Worse-than-expected demand for communications, computing, and consumer electronics
- Providing 2.5D/3D advanced packaging later than we expect
- Slower-than-expected share gains

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Rating History: 10/1/21 : E/I; 10/12/21 : U/C; 10/4/22 : U/A; 2/22/23 : U/I; 7/7/23 : E/A; 7/21/24 : E/I; 9/25/24 : U/I; 7/14/25 : U/A; 1/16/26 : E/A; 9/16/26 : O/A

Price Target History: 1/12/21 : 40; 10/12/21 : 30; 1/24/22 : 25; 7/20/22 : 21; 7/7/23 : 30.8; 1/30/24 : 25.8; 8/26/24 : 28; 9/25/24 : 22.7; 4/21/25 : 23.5; 1/16/26 : 48.5; 4/30/26 : 50; 9/16/26 : 90.2

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/27/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT$119.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT$3,495.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT$651.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb912.98
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb43.00
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT$7,430.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT$814.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT$505.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK$64.55
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK$71.40
MediaTek (2454.TW)	O (11/28/2025)	NT$3,960.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb471.13
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT$441.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb82.29
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT$1,910.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb84.22
Silergy Corp. (6415.TW)	U (05/19/2026)	NT$478.00
SMIC (0981.HK)	O (10/21/2025)	HK$45.34
TSMC (2330.TW)	O (02/07/2022)	NT$2,400.00
UMC (2303.TW)	O (05/19/2026)	NT$122.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT$161.50
WIN Semiconductors Corp (3105.TWO)	E (10/09/2026)	NT$491.00
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK$121.20

China Resources Limited (688396.SS)	U (03/02/2026)	Rmb48.19
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb103.82
Hangzhou Silan Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb24.11
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb187.03
Innoscience (2577.HK)	E (10/13/2025)	HK$29.48
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb53.29
Shanghai Fudan (1385.HK)	O (03/07/2025)	HK$22.08
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb77.48
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb86.22
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb68.01
Unigroup Guoxin Co Ltd (002049.SZ)	U (01/10/2023)	Rmb50.31
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb21.10
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb70.51
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT$814.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT$1,495.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT$16,015.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT$95.50
Elan Corp (2458.TW)	O (10/03/2025)	NT$131.50
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT$2,515.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb138.00
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb268.98
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US$11.50
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT$103.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK$210.80
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb164.50
Novatek (3034.TW)	U (02/04/2026)	NT$599.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT$132.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT$522.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT$69.40
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT$793.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb58.25
Silicon Motion (SIMO.O)	O (05/06/2024)	US$189.18
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT$163.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT$116.50
WT Co. Ltd. (3036.TW)	O (01/27/2026)	NT$215.00
Henry Zhao		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US$50.96
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb238.23
Maxscend Co Ltd (300782.SZ)	U (01/11/2021)	Rmb53.90
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb488.50
Lucas Wang		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT$1,285.00
FOCI Fiber Optic Communications Inc (3363.TWO)	E (10/09/2026)	NT$499.50
Hon Precision (7769.TW)	O (04/17/2026)	NT$5,210.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT$269.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT$4,790.00

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